



Investor Briefing FY 2013 Results

27 February 2014





The Creation of an East African Powerhouse

Building Strategy

- Equity Bank was founded as **Equity Building Society**
- Overhaul of firm's strategy having been **technically insolvent** – emphasis on savings, access to credit

Establishing Capacity

- **Capacity building** and a focus on efficiency through computerization
- Injection of KES150m in **capital** by stakeholders to build a foundation for future growth
- Transformational **strategy** evolved from product to market led model
- **Affordability, Accessibility and Convenience** key pillars

Repositioning for Future

- **James Mwangi** appointed as CEO in 2004
- Re-engineering and transformation to an **inclusive financial services provider**
- **Commercial bank** with a bias for microfinance
- **Listing on NSE** with an initial valuation of KES 6.3bn in August 2006
- **US\$10 MM Private Placement** – British American, 16%

- 1 CEO named Forbes Person of the Year 2012
- 1 CEO named CNBC African Leader of the Year
- 1 CEO named EY World Entrepreneur of the year

High Growth & Financial Leadership

- Incorporated as a private company with the assets and liabilities of EBS being transferred to Equity Bank
- Established Visa branded **ATMs** and POS
- Mobile Banking Channels
- **Regional Expansion** and introduction of agency banking

- 1 Kenya's Top Tax Payers 2013
- 1 Best Bank in Kenya Tier 1
- 1 Lowest Charges Bank
- 1 RSM Ashvir Best Kenyan Bank
- 1 Citi's 2013 Performance Excellence Award

Establishing International Platform

- **Largest banking entity in Kenya by customer base** with c.13% market share with an asset base of over KES 278bn
- Global IT Platform
- Presence in five countries, globally recognized and rewarded business model
- Global Competitive Human Capital

1984-1993

1994-2003

2004-2006

2007-2012

2013

EQUITY CENTRE



Update on Macroeconomic Environment



Operating Environment

TAILWINDS

Macroeconomic Environment

- **5.1% of GDP growth** projected by World Bank
- **Inflation** expected to remain at single digits (currently 7.2%)
- Stable **Foreign Exchange rate** (USD/KES86)
- **Current Account deficit** projected to narrow down

Future economic drivers

- **Oil, Mining and Gas** activities expected to become central to wealth creation
- **Infrastructure investments** expected to stimulate further economic growth and reduce the costs of doing business
- **Modernization of Agriculture** and increase acreage under **irrigation** to boost food security
- **SME growth accelerates** stimulated by international **Influx of Corporates**: General Electric, IBM, Toyota, Google, XIN-XUA, SONY

Regulation

- **New progressive regulation focuses on ease of risk monitoring and regional supervision**
- **Formation of non-operating holding group company approved**
- **Bancassurance space opened up for commercial banks**

HEADWINDS

Kenya

- **Reduction of Base Rate by 8.0%.** Good for our customers, Good for us!
- **Residual credit risk**, expected to reduce with reduction of Base Rate over time

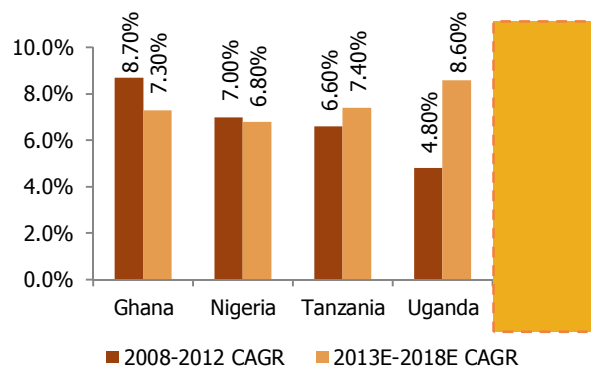
Regional

- **Increased instability in South Sudan**

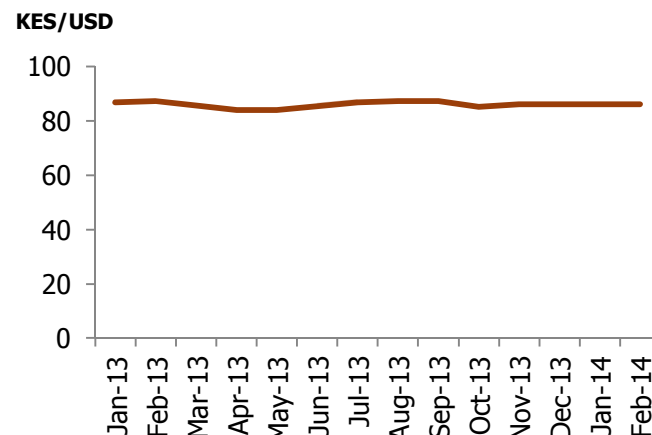


Key Kenyan Macro Economy Indicators

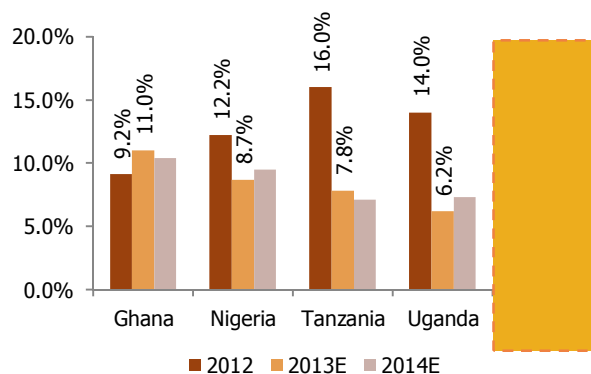
Real GDP Growth (%) ¹



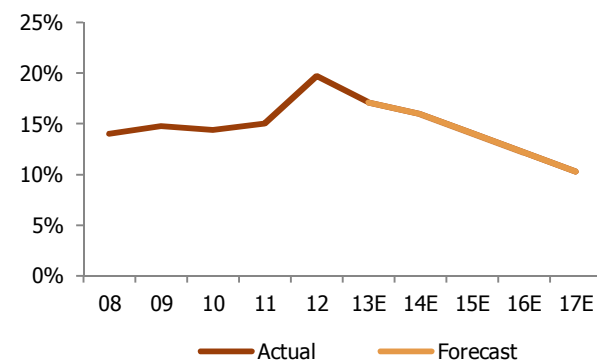
FX Evolution ²



Inflation (%) ¹



Lending Interest Rates (Avg. %) ¹



¹ EIU Kenya Country Report
² Factset as at 24 February 2014

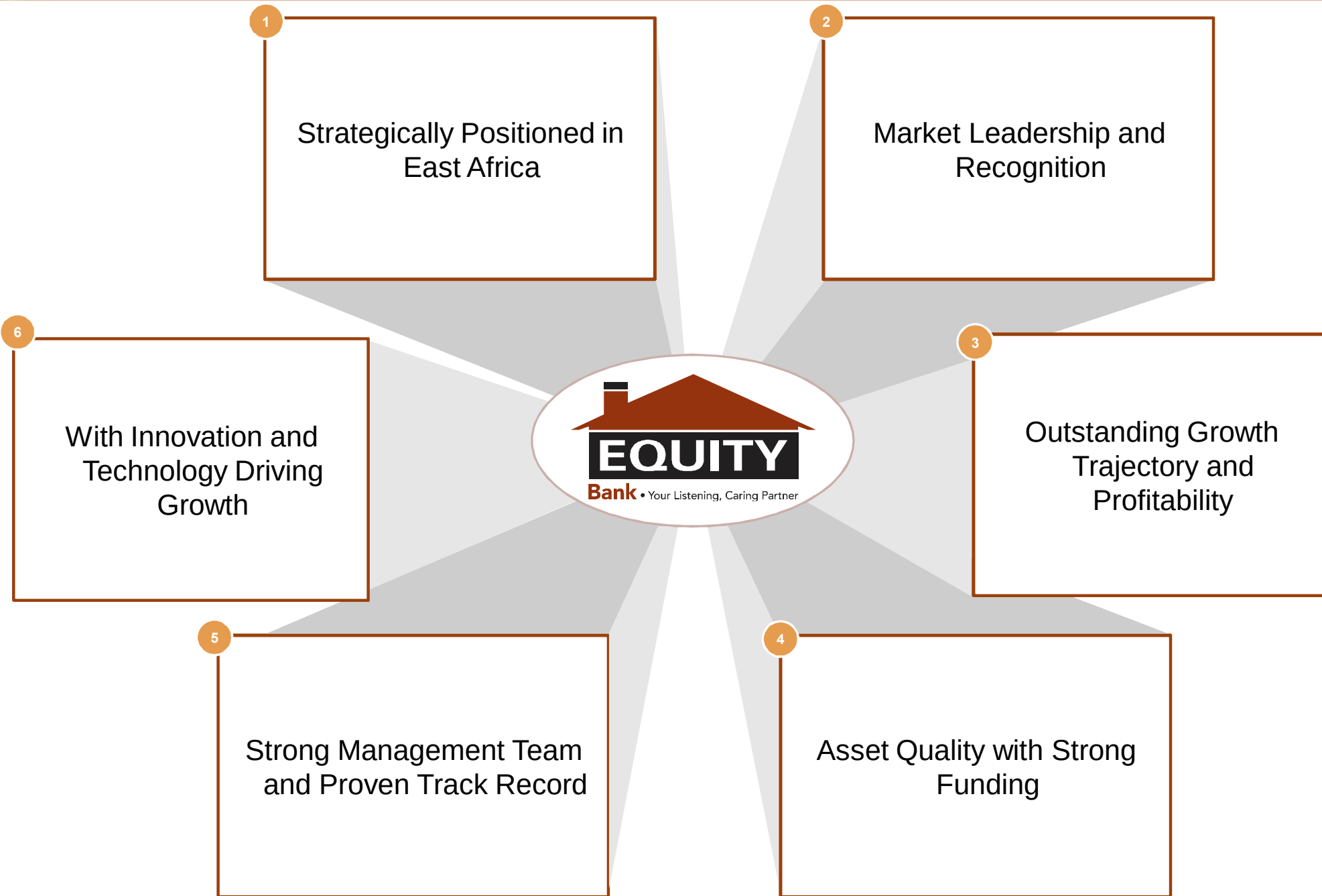
EQUITY CENTRE



Update on Strategic Initiatives



The Equity Story





Strengthening the Management Team

Group Strategic Team

**DR. JAMES MWANGI, CBS****Chief Executive Officer & Managing Director**

- Holds a Bachelor of Commerce degree and is a Certified Public Accountant
- Over 25 years of management experience

**JULIUS KIPNG'ETICH****Chief Operating Officer**

Holds a Masters of Business Administration degree and Bachelor of Commerce degree Accounting Option. He has over 18 years of management experience. He joined Equity in 2004 as board member and management in 2012.

**MARY WAMAE****Director of Corporate Strategy & Company Secretary**

- LLB degree, Diploma in Law & Certified Public Secretary
- Over 14 years of experience in legal practice and joined the Bank in 2004

**JOHN STALEY****Chief Officer – Finance, Innovation and Technology**

- MSc. In Applied & Computational Mathematics, BSc. in Physics; qualified Chartered Accountant
- Over 23 years of experience

**DR. HELEN GICHOHI, MBS****Managing Director, Equity Group Foundation**

- Ph.D. in Ecology, MSc in Biology, BSc in Zoology
- Helen joined Equity Bank management in 2012

**JUMAANE TAFAWA****Director, Strategic Partnerships**

- Holds an MPA in International Development from Harvard University
- Over 11 years experience. Joined Equity Bank in 2012

Recent Appointments

**RAPHAEL HUKAI,****Chief Information Officer**

- Holds a B.S. degree in Computer Science from the Institute of International Politics of Beijing, China.
- Joined Equity Group in December 2013 after over 16 years of service at IBM Corporation

**REUBEN MBINDU,****Human Resource Director**

- Holds a BSc in Computer Science from Germany and is a full member of the Institute of Human Resource management in Kenya
- Expertise in various fields including technology, auditing, communication and human resources having worked at senior management levels in various organizations
- Joined Equity Group from Standard Chartered, where he was the Director of Human Resources for East Africa.

**ENRICO NORA****Director Mobile Innovations**

- Holds a Master Degree in Industrial Engineering from the Polytechnic of Milan, Italy and an MBA (with honours) from the University of Chicago, USA
- Was based in Singapore as CFO & COO of DOCOMO Intertouch, a division of NTT DOCOMO of Japan

**RON REDDICK****Director Service Management**

- Holds a Master of Science degree in Telecommunications and a BSEE in Electronic Engineering. He has worked across the globe in executive positions such as COO/CTO of Cell C in South Africa, CTO of Afghan Wireless and as Sr. Dir of Advanced Services for Cisco System

Operational Executive Team

**GERALD WARUI****Director of Customer Service, Research & Development**

- Certified Public Accountant (CPA K) and a graduate of Advanced Management
- Gerald has served in Equity Bank for 15 years

**ALLAN WAITITU****Director Special Projects**

- Graduate of Advanced Management Programme
- Over 21 years experience in information technology and banking
- Joined Equity Bank in 2003

**HILDAH MUGO****Director of Operations**

- Holds an MBA - strategic management and a Bachelor of Business Administration
- Over 21 years of banking experience and joined Equity Bank in 2004

**MICHAEL WACHIRA****Director of Treasury and Marketing**

- Holds a Bachelor of Science degree in Economics and a MSC in Investment Management
- Over 16 years of experience and joined Equity Bank in 2009

**ISAAC MWIGE****Director of Relationship Banking**

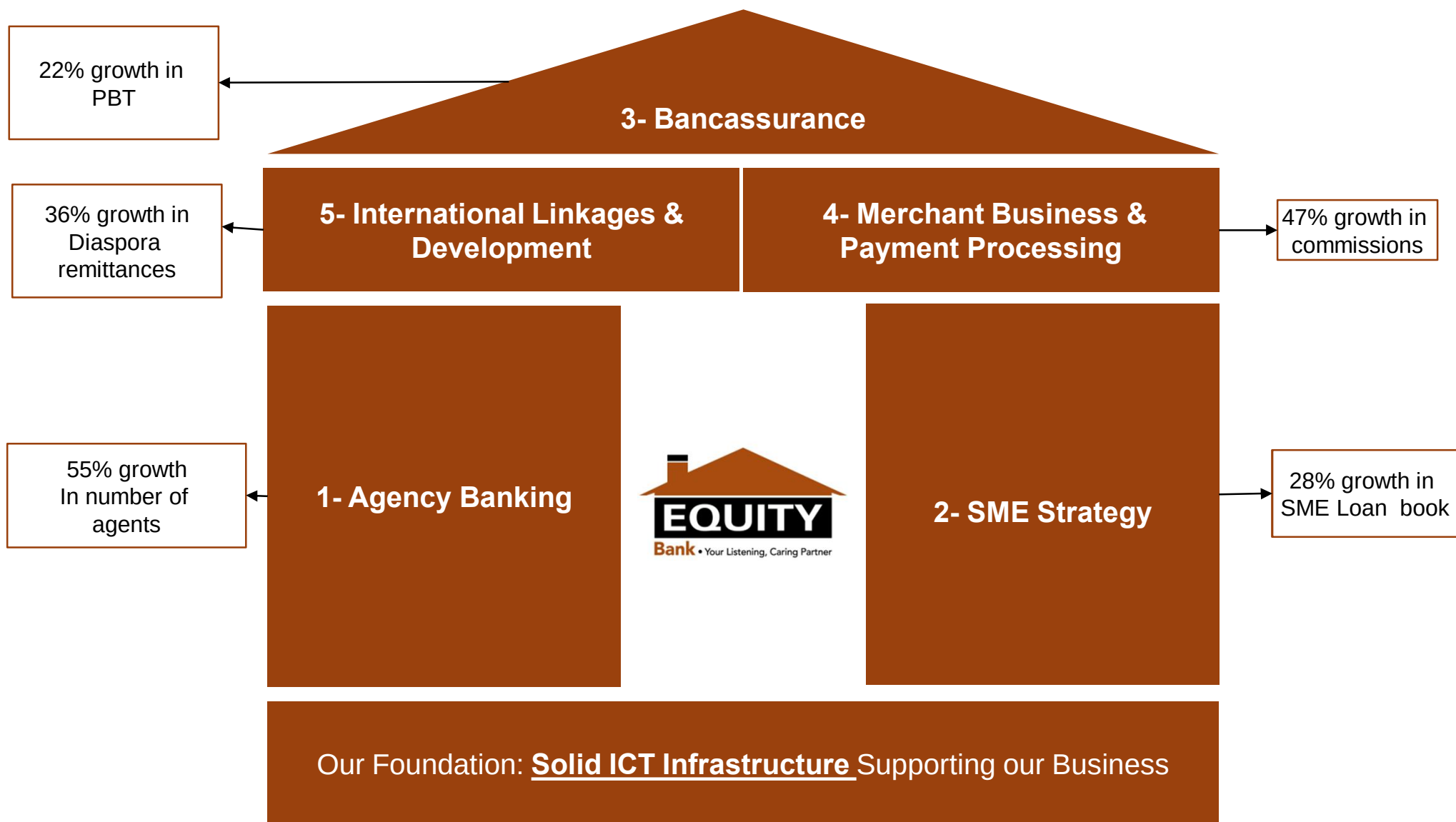
- Masters degree in International Business Administration, Bachelors of Business Administration
- Over 16 years of banking experience and joined Equity Bank in 2012

**ELIZABETH GATHAI****Director of Credit**

- Holds a MBA, Bcom (Finance), CPA(K)
- Over 12 years of banking experience and joined Equity Bank in 2001



Strategic Initiatives Driving Growth in 2013





1- Agency Banking Driving Growth

Key Initiatives

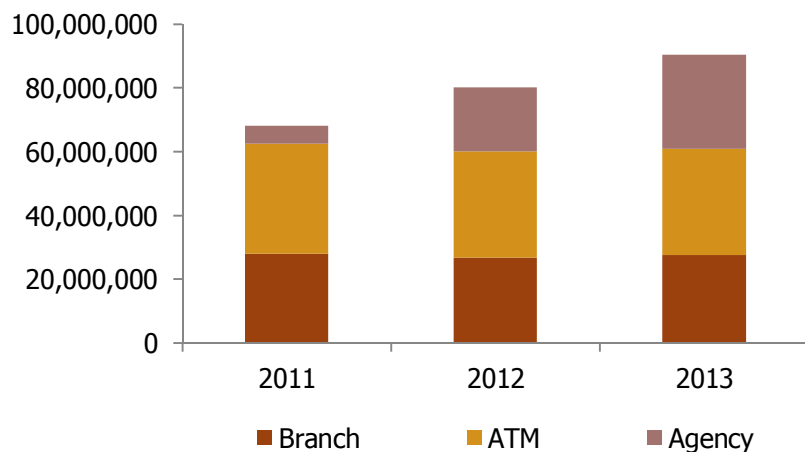
- Extremely successful initiative in Kenya – number of agents increased **from 875** at the beginning of 2011 to **10,260 agents** in the region by December 2013
- Scalable business model for regional expansion rolled out in **Rwanda and Tanzania**
- **Variable cost** model: leverage on 3rd party infrastructure and cash flows
- Currently doing **account opening origination, cash deposit and withdrawal, balance enquiries** but with potential to increase product offering
- **Risk control** and management using Equity Bank IT Infrastructure

Results

- **Deposit** growth of c. 26% from Agency network
- Agency network accounts for a third of all transactions- effectively **reducing cash handling costs**
- Reduction of **overcrowding in branches**
- Improved access to the **unbanked**

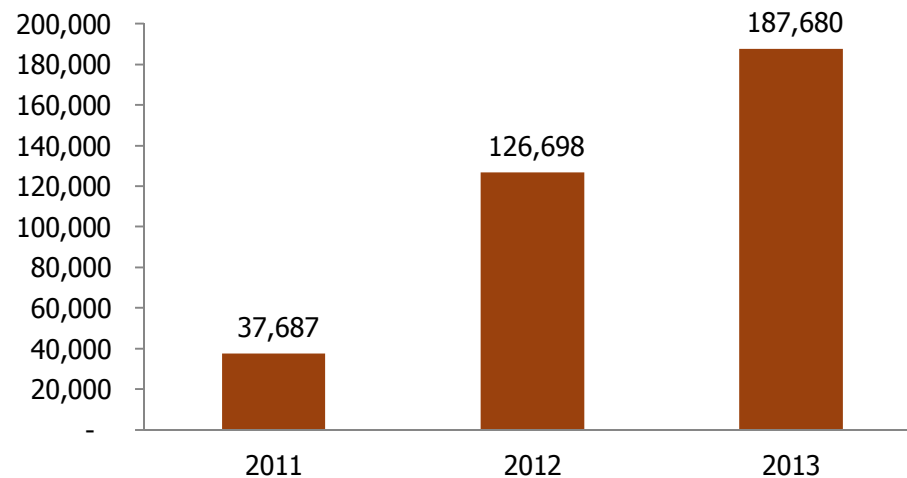
Agency now accounts for a third of all cash transactions

Total Transactions



Growing Value of BOP Transactions (KESm)

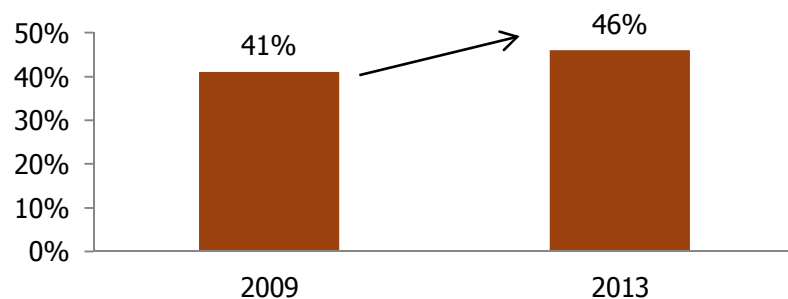
Cumulative amounts (KESm)





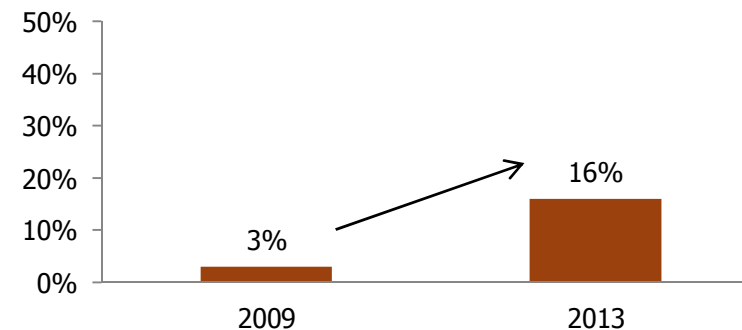
2- SME Banking: Nurturing Client Evolution

SME



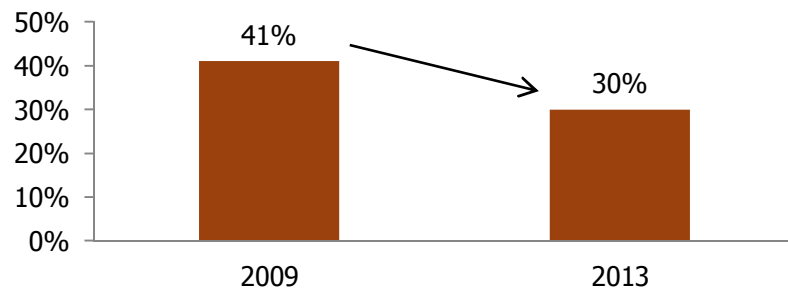
- Increased lending to SME as a proportion of the loan book

Large Enterprises



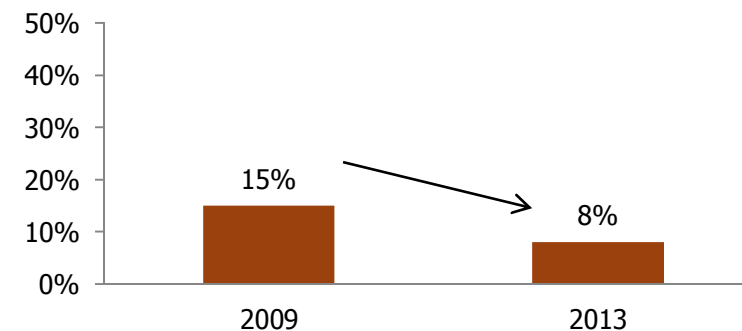
- Focusing on value chain & clusters within large enterprises

Consumer and Agriculture



- Consumer and agricultural still remain our core areas but contribution now a reduced portion of the loan book

Micro Enterprises



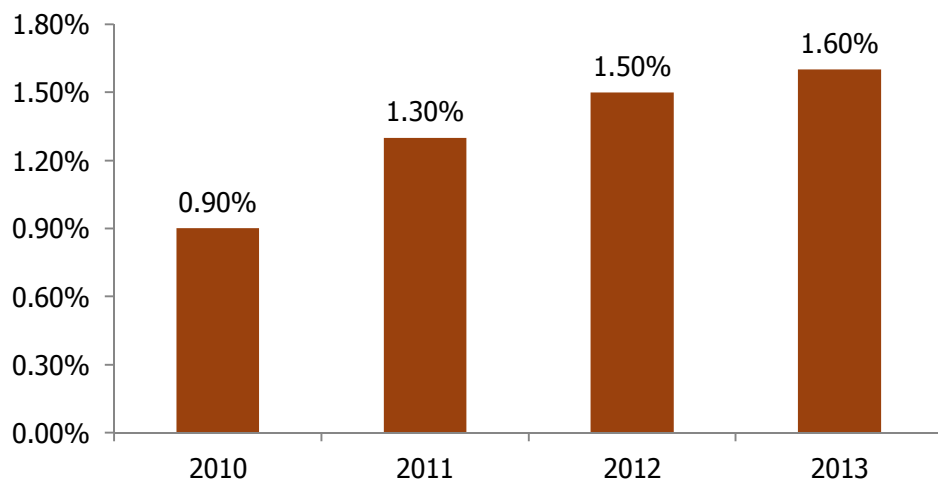
- Microenterprises still our core area but Improving macroeconomic environment driving evolution of micro enterprises into SMEs

SME now accounts for 46% of loan book



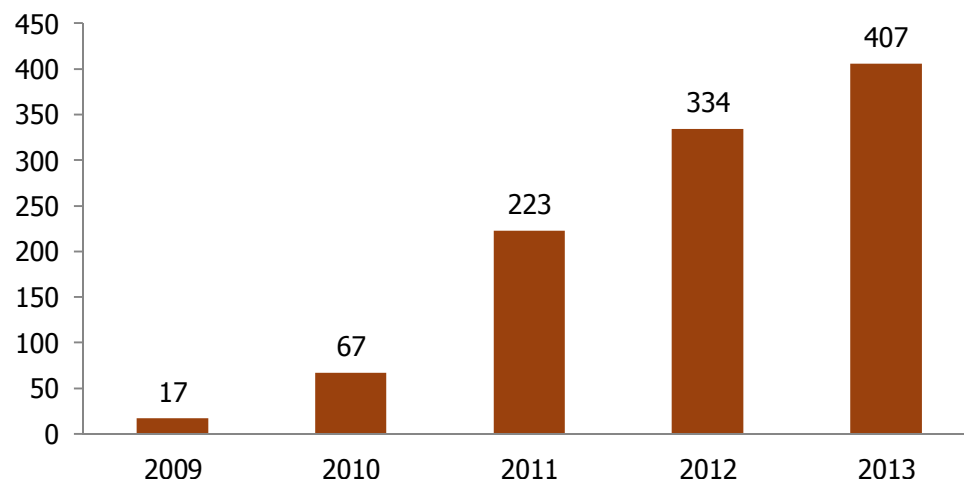
3- Increased Focus on Bancassurance

Contribution to Group Revenue

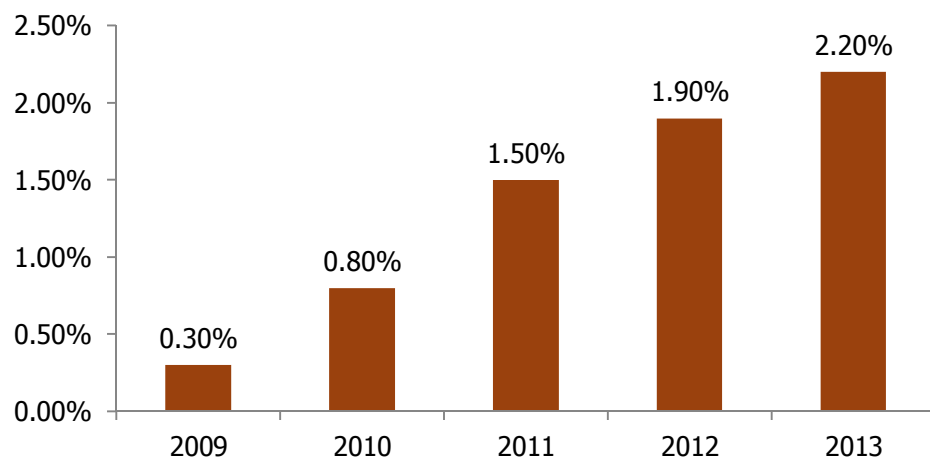


PBT Evolution

Insurance PBT (KESm)

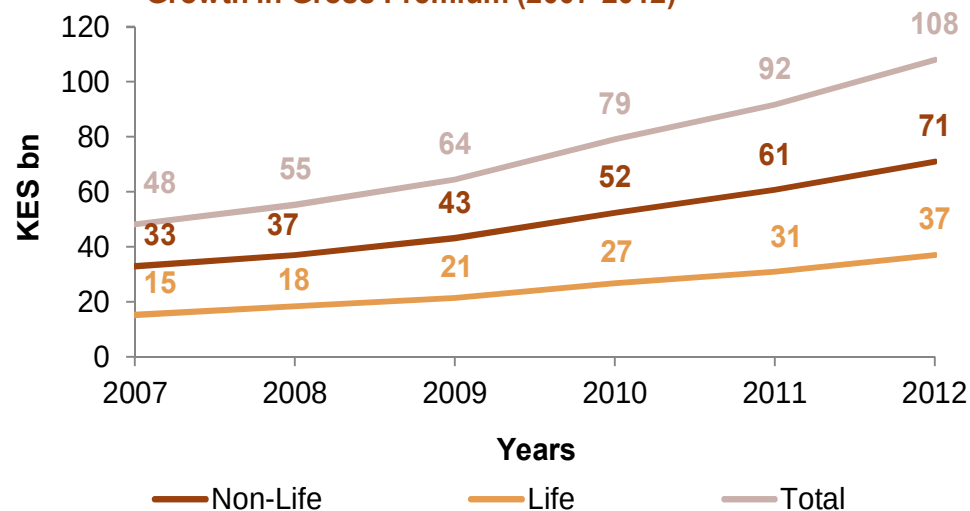


Insurance Contribution to Group PAT



Trend in Kenyan Insurance Premium Growth – (KESbn)

Growth in Gross Premium (2007-2012)

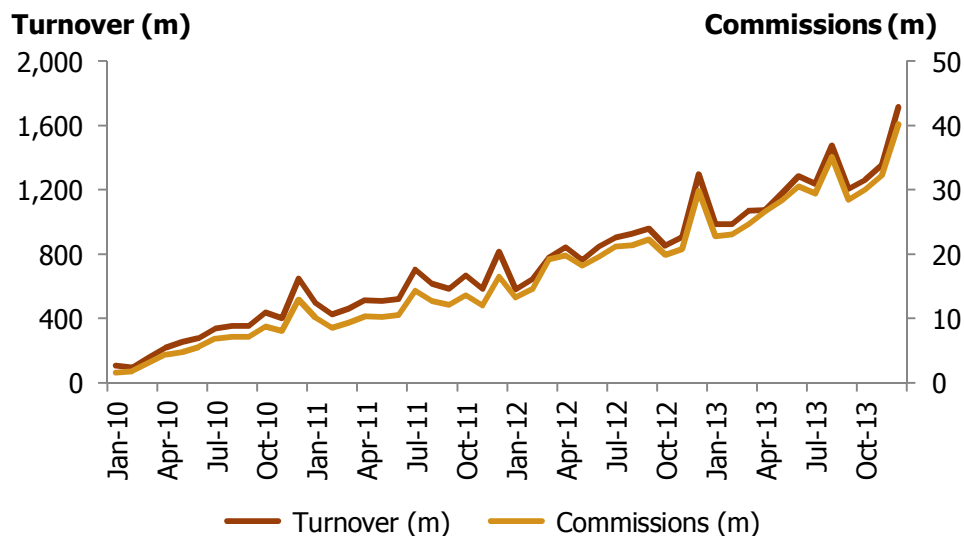


Source: AKI Report 2011/12



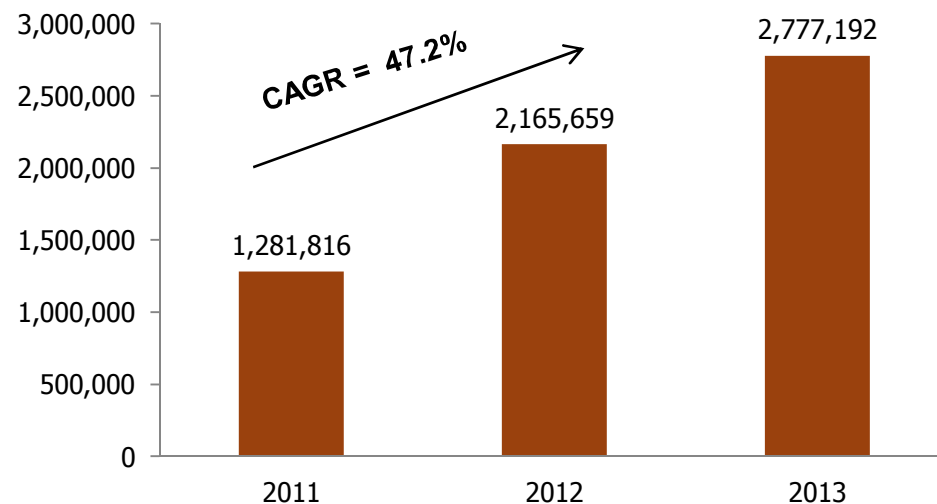
4- Payment Processing & Merchant Business

Turnover and Commissions



- Equity Bank well positioned to significantly increase volumes and commission

Mobile Banking Customers



- Cash Lite system and ease of transaction processing driving buyer values and customer stickiness

Partners

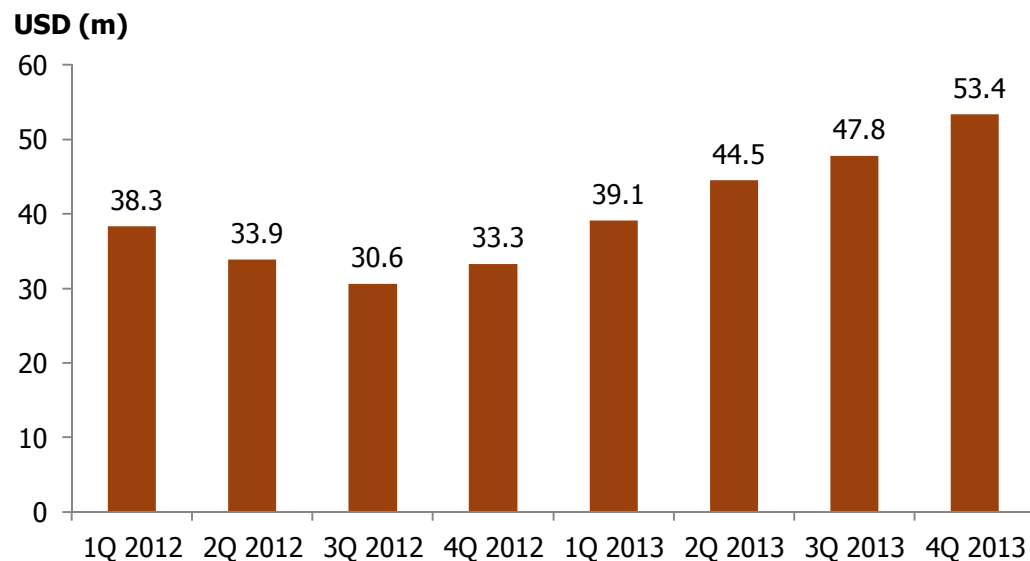


- Strategic partnership with merchants driving mobile banking business



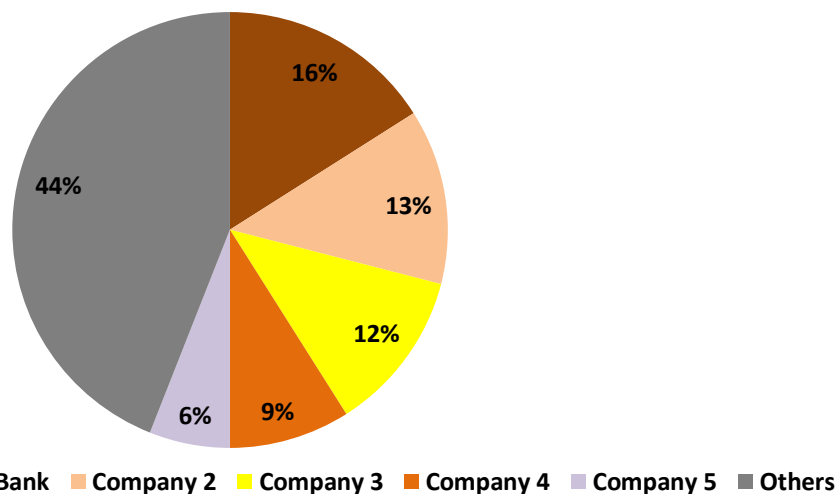
5- Consolidating International Linkages

Equity Bank Currently Leads Monthly Diaspora Remittances (USDm)



- Remittances are a good source of short term FX funding and profitable line of business

Market Share of Remittances



- Market leader with approximately 16.3% market share
- In 2013, **USD 185m** from the diaspora was channelled into the country through Equity Bank
- 10.3% increase** in the sector in 2013 vs. 2012
- Increased remittances that have continued to flow in to the country will take the space of **declining FDI**

Source: Central Bank of Kenya
¹ Others includes over 30 institutions

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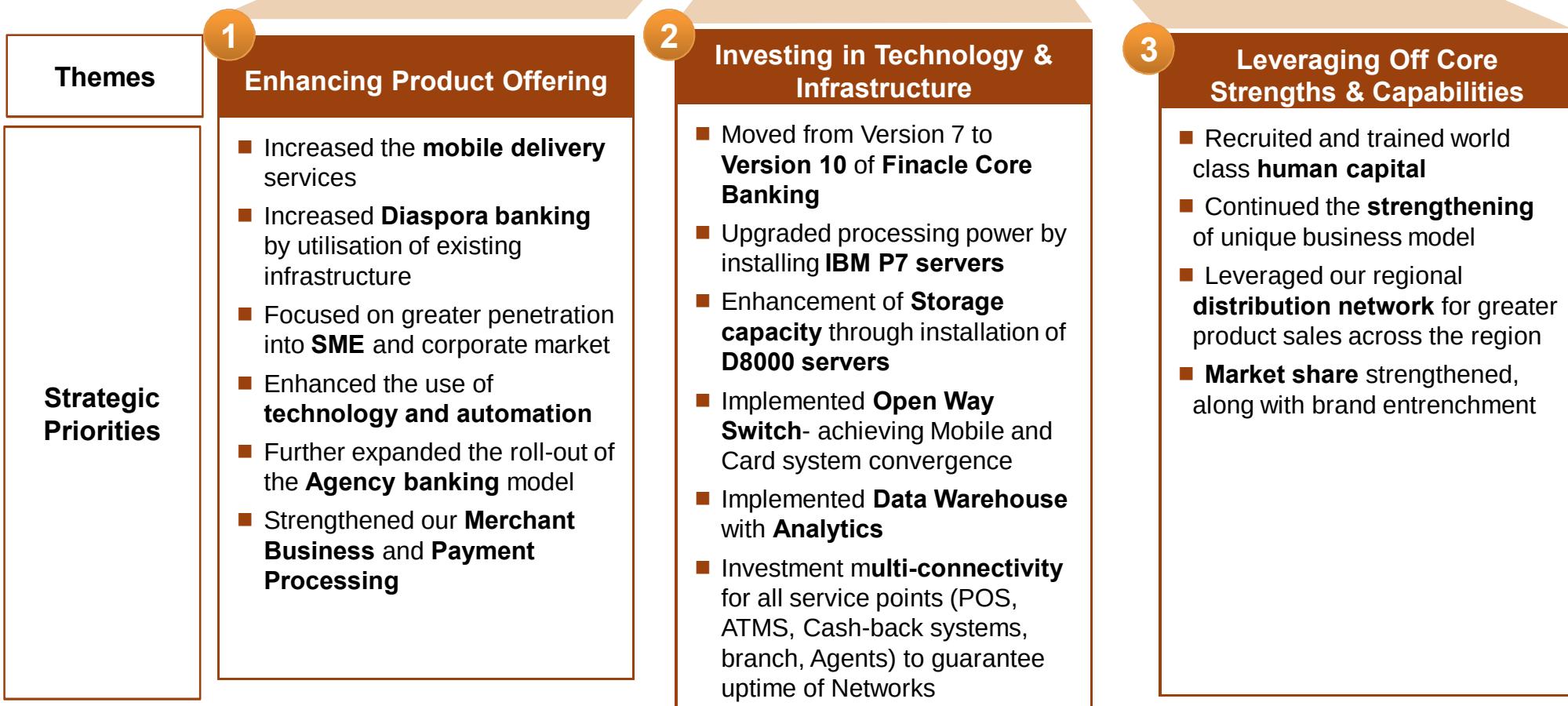


2013 Thematic Areas



Tapping into our Competitive Advantages

In 2013 we Consolidated our leadership in our core market by:



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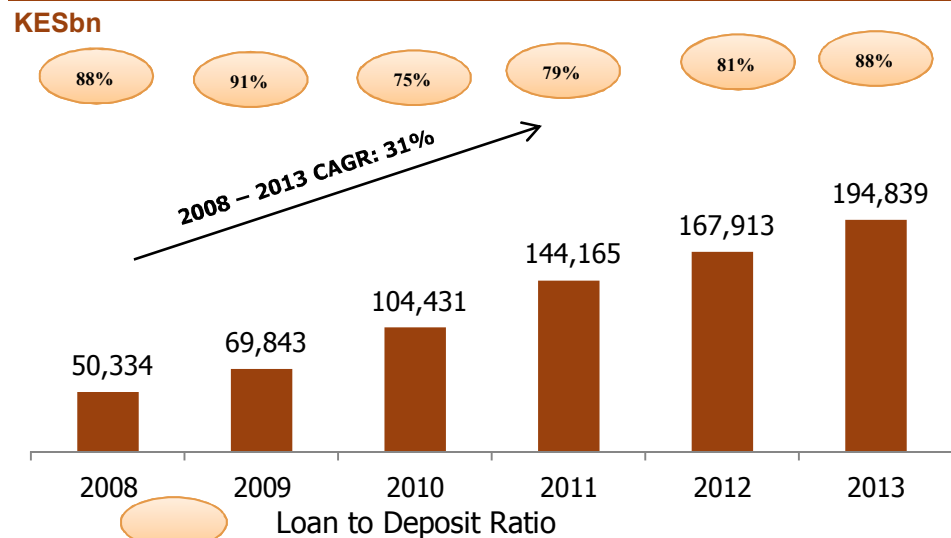


2013 Results and Key Financials



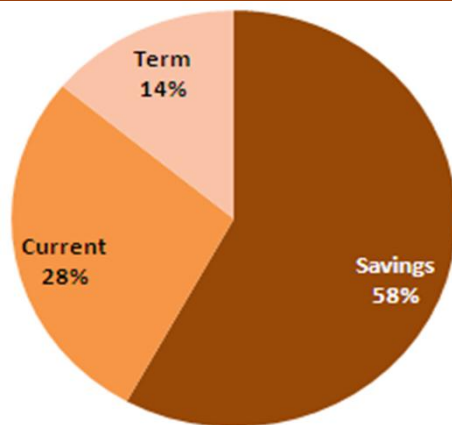
600,000 New Customers Driving Growth of Deposits

Deposits Evolution



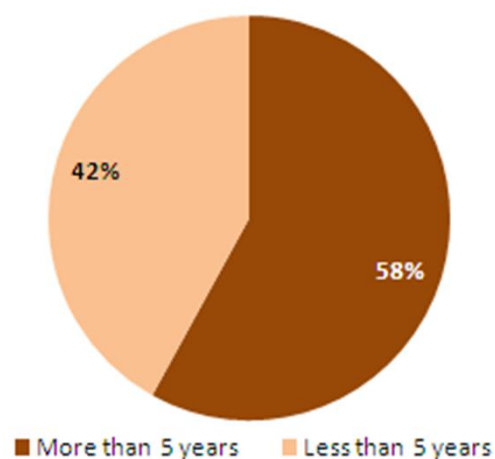
2013 Deposits Breakdown

By Type¹



Total: KES 195bn

By Maturity¹

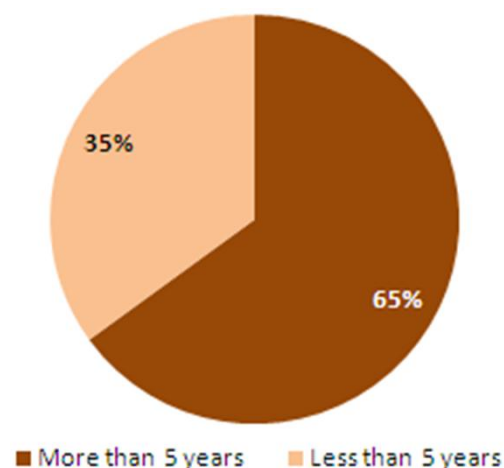


Total: KES 195bn

Highlights

- Our deposits comprising **70%** of total funding
- Term deposits accounted for 14% of deposits, Savings 58% and demand accounts 28% as at end of Q4 2013
- Share holders funds consist of over 19% of Total funding
- Long term offshore funds with average tenor of 7 years comprising 10% of funding
- Stable **loan to deposits ratio**

2013 Funding Breakdown by Maturity¹



Total: KES 277.73 bn

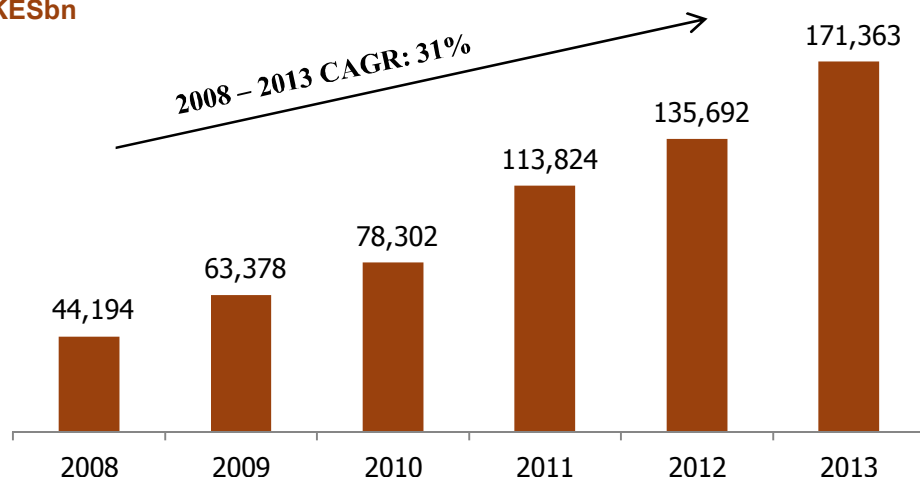
1. Split based on Kenya only



26% Growth of the Loan Booké

Net Customer Loans Evolution

KESbn

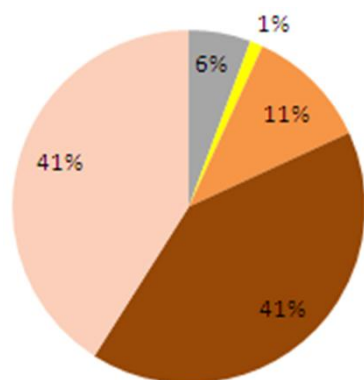


Key Commentary

- Continued growth in the loan book achieving a **26% growth** y/y and 13% growth in loan accounts
- Growth in loan book in the year mainly **driven by SMEs**
- Loan book split into **5 client types**: Consumer, Agriculture, Micro, SME and Large Enterprises
- Portfolio **diversified** across various economic sectors such as personal and house hold, trade and industry, transport & logistics, energy, agriculture and real estate

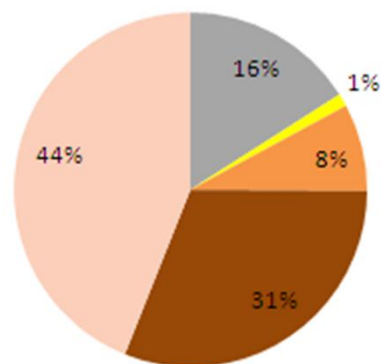
Breakdown by Maturity

2013 Loan Book¹



Total: KE171.36bn

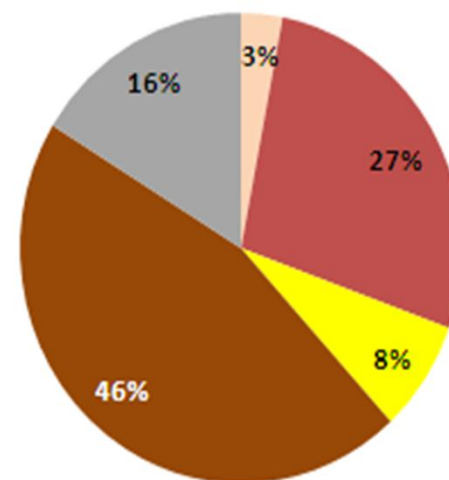
2013 Assets



Total: KES 277.73bn

2013 Gross Loan Book Breakdown By Customer Type

Total: KE178.31bn



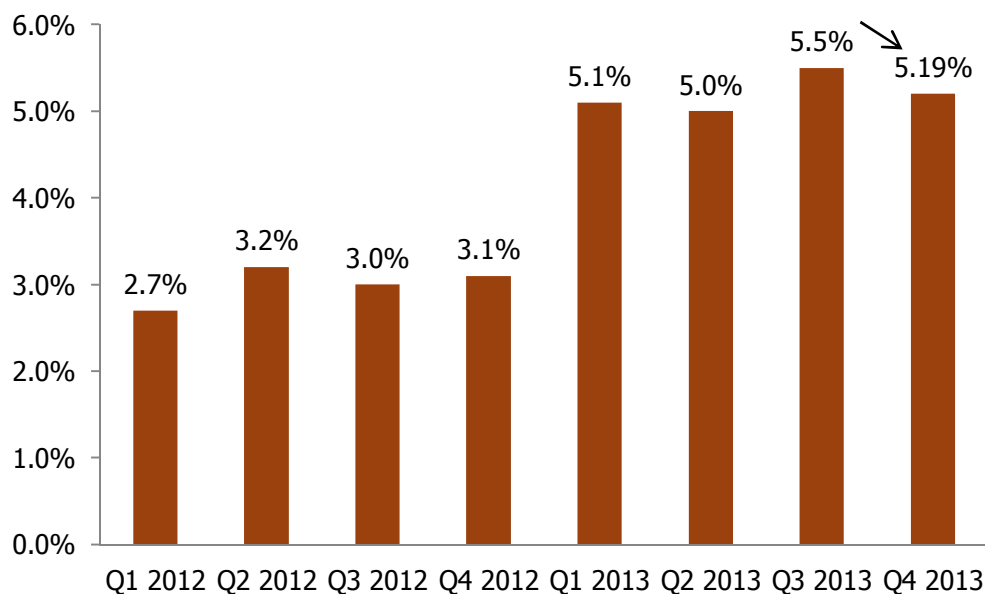
Agriculture Consumer Micro Enterprises SME Large Enterprises

1. Split based on net loans from Kenya only



Reduction in NPLs in Q4

Gross NPL Ratio – Improved in Q4 2013



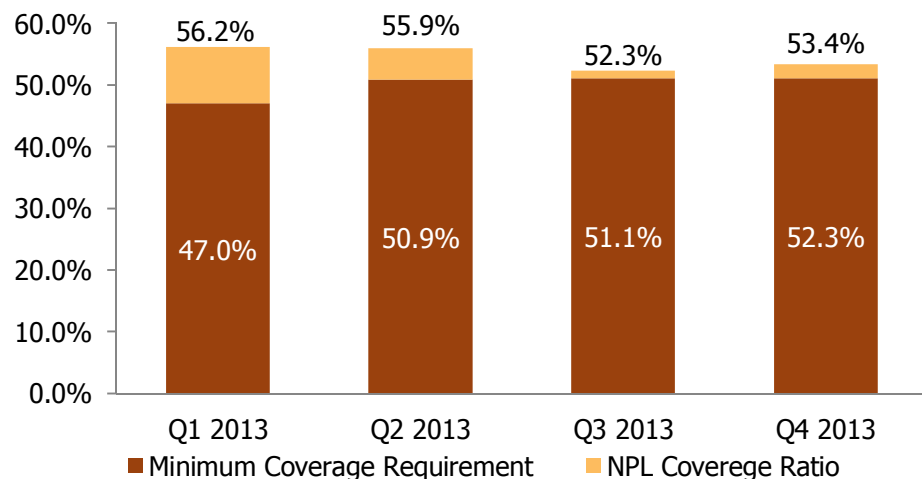
NPL Ratio Evolution

Impacted by the challenging macro-economic conditions across all target markets and region, main reasons being:

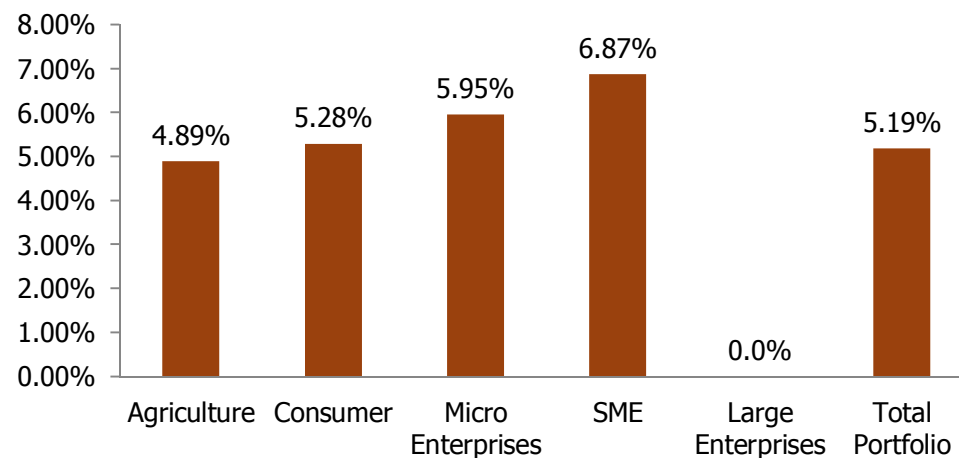
- With the new devolved structures, SMEs continued to experience delayed government payments
- Continued strain in South Sudan economy arising from oil exportation challenges
- New prudential guidelines requiring longer observation period hence the position may hold for next 6 months

Loan book well provisioned to cushion against any adverse macro shocks and any other unforeseen uncertainties

Coverage Ratio Evolution¹



Gross NPL Ratio By Sector 2013

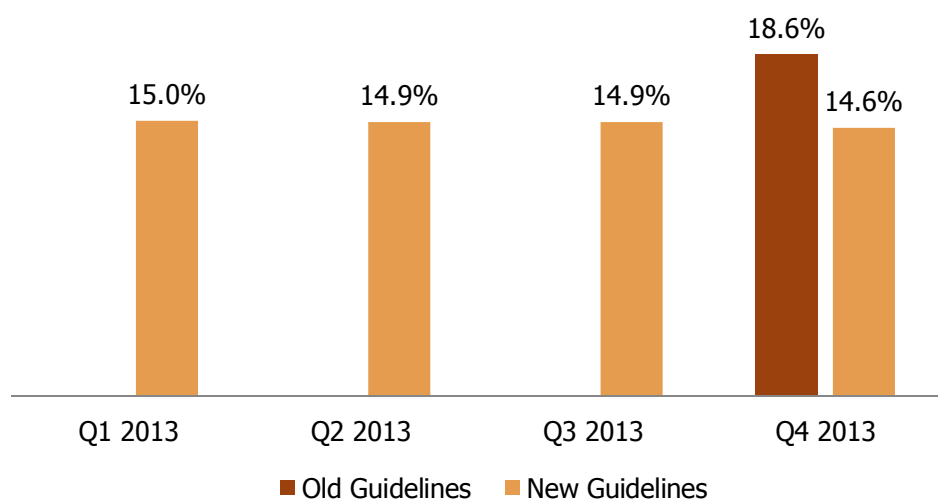


1. Under CBK rules

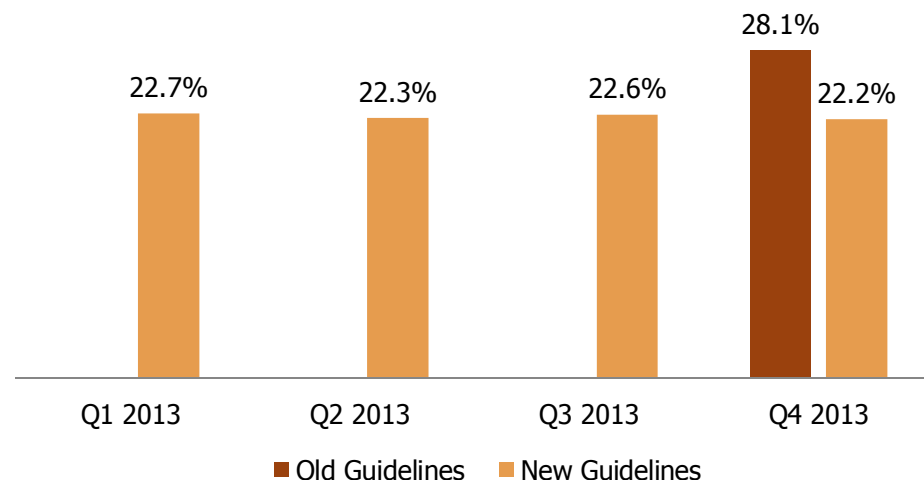


Well Capitalised and Liquid Balance Sheet

Core Capital to Risk Weighted Assets

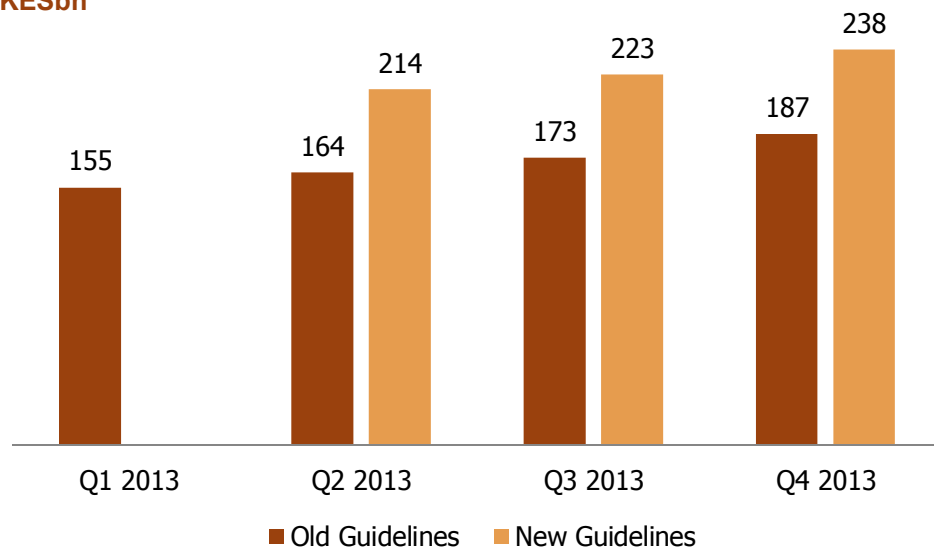


Total Capital to Risk Weighted Assets



Total Risk Weighted Assets Evolution (Kenya)

KESbn



1. Split based on Kenya only

Key Commentary

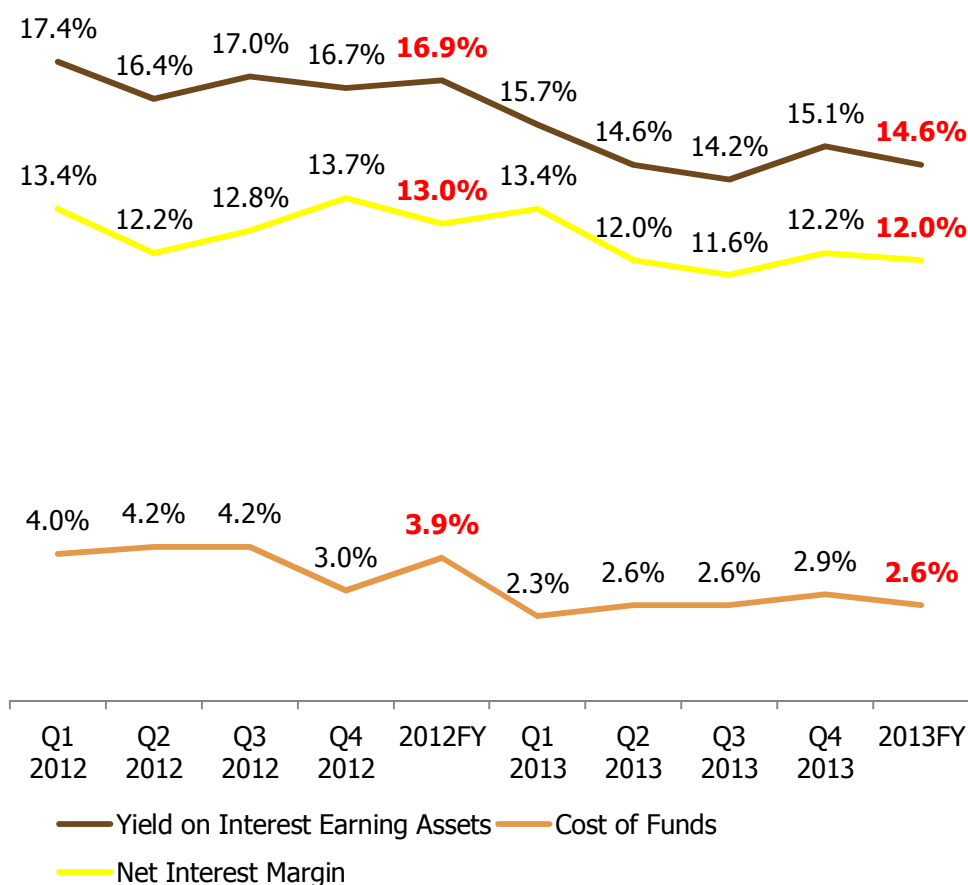
- The bank is well capitalised and increased its buffer allowance following the issuance of the new prudential guidelines in 2013
- Within the year, the Bank only takes in to account 50% of its revenue for Capital Adequacy computations.
- Total capital grew by 18% yoy to reach KES52.72bn.
- The new regulatory requirements Introduced **Market** and **Operational** risk as well as revised upwards the minimum regulatory capital ratios :
 - ð Core capital to total deposits ratio: from 8.0% to 10.5%
 - ð Core capital to total RWA: from 8.0% to 10.5%
 - ð Total capital to total RWA: from 12.0% to 14.5%



Reduction in Base Rate Impacting Revenue Growth

Net Interest Margin

High stable NIMS despite tough economic conditions and volatile interest rate environment

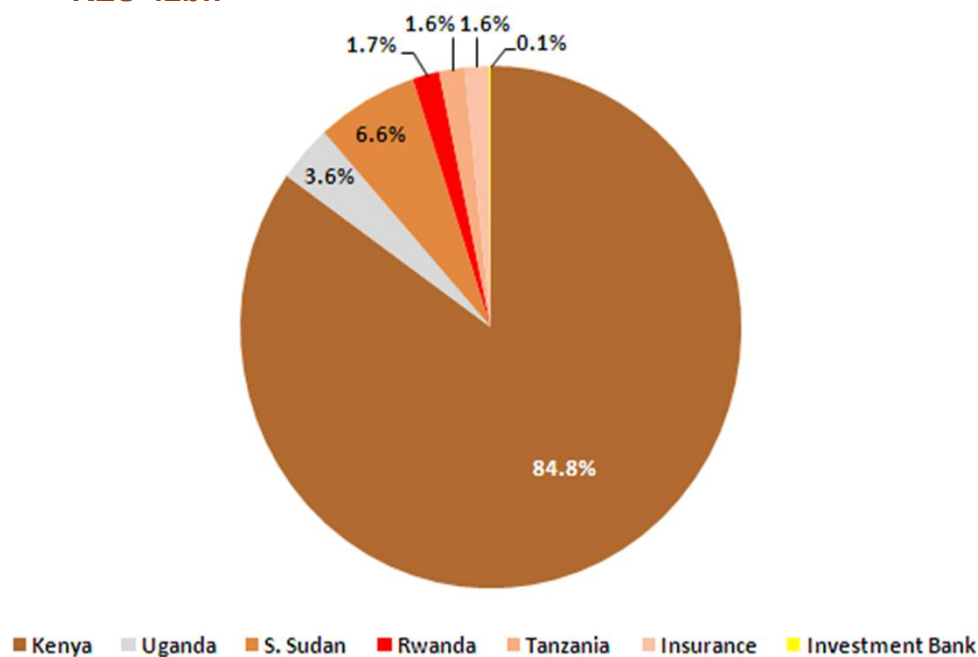


Revenues

- Net Interest Income grew by 11% while non-interest income grew by 19% y/y
- Forex income contributed 4.5% of total operating income in the group after closing at KES 1.87bn as at Dec-13
- Fees and commission income due to loans grew by 26% y/y to close at KES 4.48bn contributing 11% of total operating income

Subsidiary Contribution to Revenue

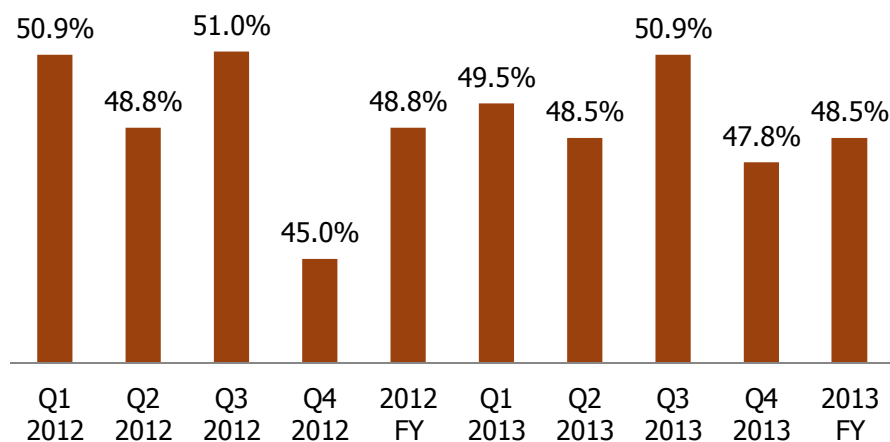
KES 42bn



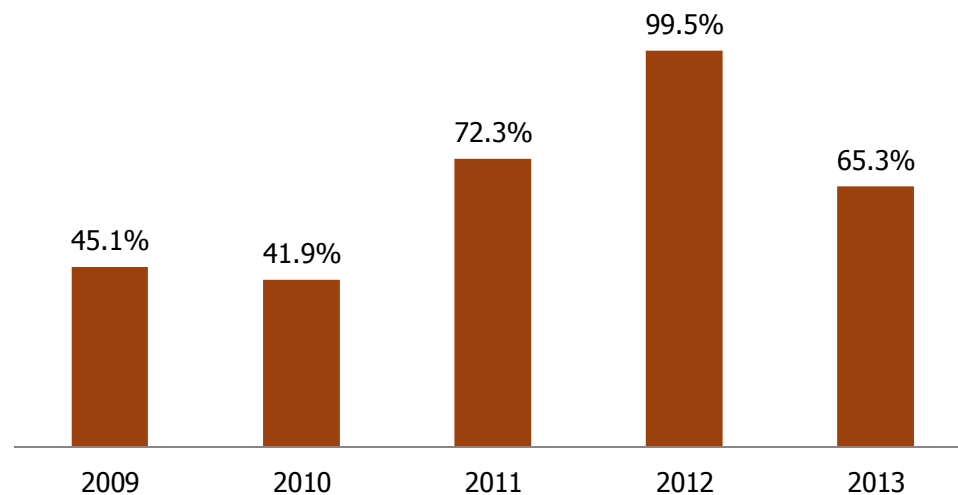


Focus on Costs: Reduction of Cost to Income Ratio to 48.5%

Cost to Income Ratio

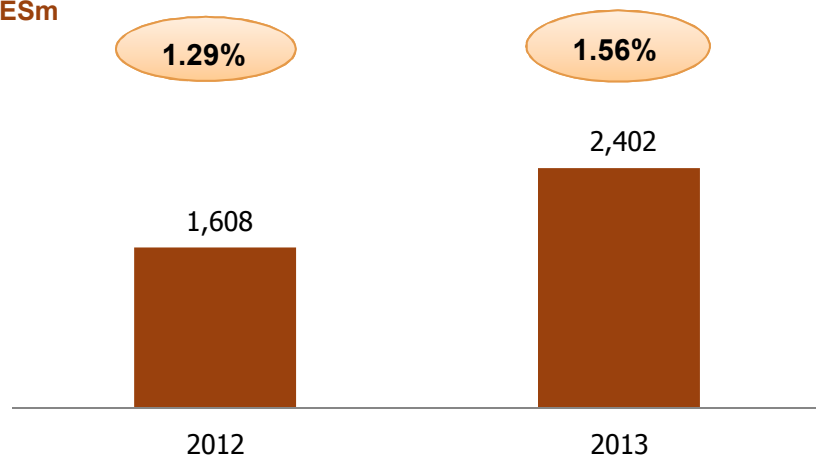


IFRS Coverage Ratio Evolution²



Loan Loss Provisions Evolution

KESm



Loan Loss Ratio¹

1. Calculated as loan loss provision / average net loans
2. Defined as IFRS Balance Sheet Provisions/Gross NPLs

Key Commentary

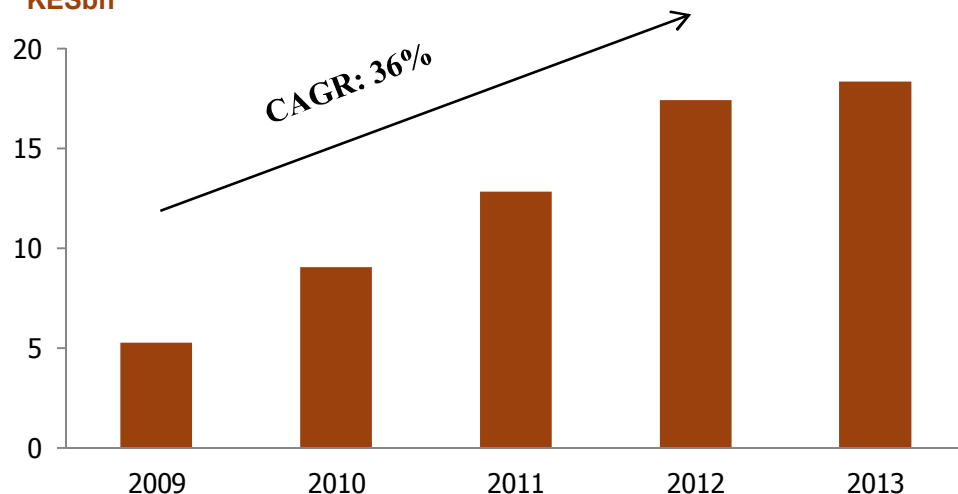
- **Continued focus on cost management**
- Operating expenses increased yoy due to expenses related to physical upgrades of some of our branches to accommodate SME customers
- Cost management expected to be further enhanced by operationalization of the Hyperion planning tool
- CIR ratio expected to be stable in the short term but expected to further reduce in medium term and long term as dividends from agency banking, investments in Payment systems and ICT continue to accrue.



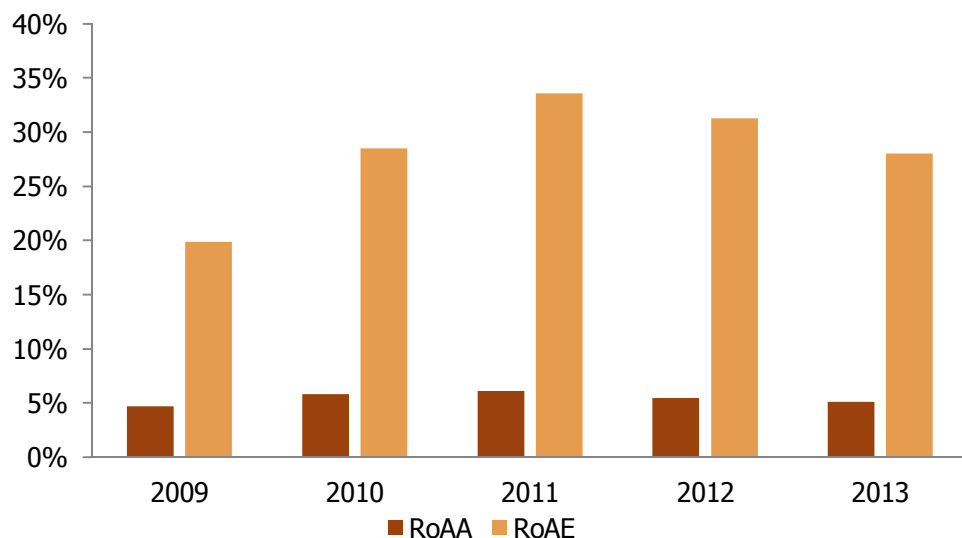
28% ROE, 11% PBT Growth despite Challenging Environment

PBT Evolution¹

KESbn



RoAA / RoAE Evolution



Key Commentary

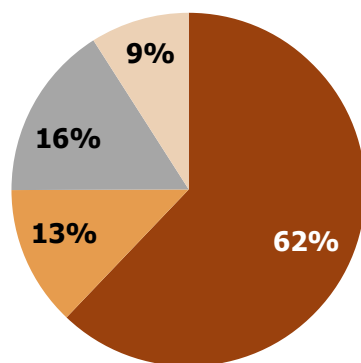
- Group Profit before Tax & exceptional items grew by **11%** y/y to **KES19.15bn**, mainly impacted by the reduction in lending rates and **South Sudan impairment** by KES 0.7bn
- Poor Q2 and Q3 performance impacted by reduction in base rates in May 2013
- Normalised performance in Q4:
 - 35% ROAE
 - 73% growth Q4 vs. Q3
- Continued focus on profitability with a Return on Equity of **28%** despite high capital base (15% CT 1 ratio)



Structure & Asset Portfolio

	Dec-12	Dec-13	Growth
Assets (bn)	KES	KES	%
Net Loans	135.69	171.63	26%
Cash & Cash Equivalents	45.13	34.53	(23)%
Government Securities - HTM	30.80	34.01	10%
Government Securities - AFS	10.00	10.36	4%
Other Assets	21.55	27.20	26%
Total Assets	<u>243.17</u>	<u>277.73</u>	<u>14%</u>

Asset Distribution



■ Net Loans ■ Cash & Cash Equivalents ■ Government Securities ■ Other Assets

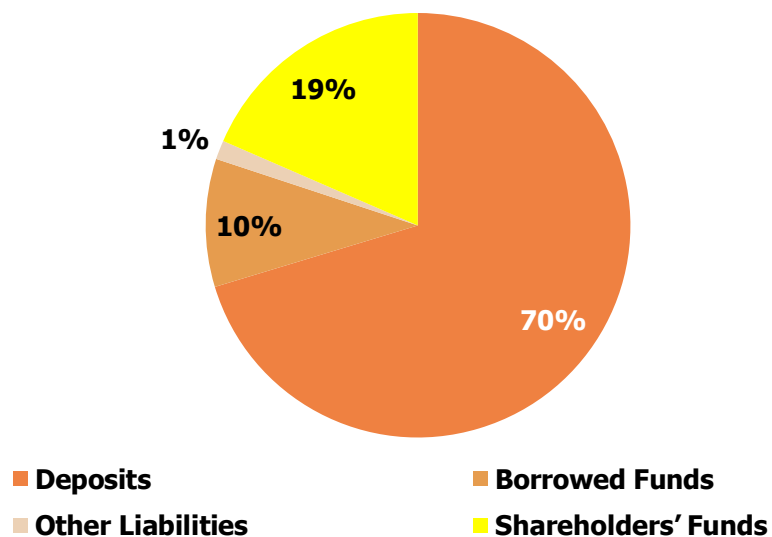
- **Total assets grew by 14%** in the Group with a significant increase being achieved in Loans and Advances.
- Group **net loans and advances grew by 26%** with Kenya growing by 24%, Sudan by 23%, Rwanda 113%, Tanzania 231% and Uganda grew by 2%
- The Balance Sheet is highly **Liquid at 34%** over the statutory liquidity minimum ratio of 20%
- **85%** of the assets are earning assets



Structure & Funding Portfolio

	Dec-12	Dec-13	Growth
Liabilities & Capital (Bn)	KES	KES	%
Deposits	167.91	194.84	16%
Borrowed Funds	26.57	26.73	1%
Other Liabilities	5.77	4.60	(20)%
Shareholders' Funds	42.92	51.56	20%
Total Liabilities & Capital	243.17	277.73	14%

Funding Distribution



- **Shareholders' Funds grew by 20% with** growth mainly being driven by increase in revenue reserves
- **Growth in deposits for the Group was 16%** year on year with Kenya recording 11%, Rwanda 118%, Tanzania 182%, Sudan 11% and Uganda 56% growth rates
- The Borrowed funds consist of long term tenure funds sourced from international DFIs at low cost.



2013 Performance

KESm	December 2012	December 2013	December 2013 vs. December 2012
Interest Income	30,848	31,890	3%
Interest Expense	(6,884)	(5,399)	(22)%
Net Interest Income	23,964	26,491	11%
Other Income	12,863	15,371	19%
Total Income	36,827	41,861	14%
Provisions	(1,608)	(2,402)	49%
Staff Costs	(7,145)	(9,024)	26%
Other Operating Expenses	(10,825)	(11,285)	4%
Total Costs	(19,579)	(22,711)	16%
PBT	17,249	19,150	11%
Exceptional Items	170	(146)	
Tax	(5,339)	(5,726)	5%
PAT	12,080	13,278	10%
Proposed Dividend	4,628	5,554	20%
Key Ratios			
NIM	13.0%	12.0%	
C/I Ratio	48.8%	48.5%	
Cost of Risk	1.3%	1.6%	
RoAE	31.3%	28.1%	
RoAA	5.5%	5.1%	



Equity Bank: 2013 Dashboard

HIGHLIGHTS

- Å **Exceptional results** despite challenging environment:
 - Å South Sudan instability
 - Å Reduction of Base Rate by 8.0%
- Å **Dividend policy maintained: 40% pay-out ratio**

GROWTH

- Å **11% growth in PBT**
 - Å Q2 and Q3 impacted by reduction in Base Rate
 - Å Stabilization in Q4: **73% growth Q4 vs. Q3**

RETURNS

- Å **Top quartile ROE (28.1%) and ROA (5.1%) globally**
 - Å **Normalized returns of 35% in Q4**
 - Å Cost to Income ratio down to 48.5%

RISK

- Å **Continued focus on risk management**
 - Å **Reduction in NPL in Q4 to 5.19%**
 - Å Drop in Base Rate expected to drive NPL down

CAPITAL AND LIQUIDITY

- Å **Well capitalized: 15% core capital to RWA**
- Å **Liquid B/S: 34% liquidity ratio vs. 20% statutory minimum requirement**

OPERATIONS

- Å **600,000 new customers!**
- Å 28% increase in mobile banking users
- Å 55% increase in agents

Transforming Lives of our Customers whilst Delivering Superior Returns for our Shareholders in a Challenging Environment

EQUITY CENTRE

What to Expect in 2014





Growth and Return Story

Past Accomplishments

Future Aspirations?

2007

- 1.8 million customers
- ROE: 22.1%
- ROA: 5.2%
- CIR: 59%
- Deposit: KES32bn
- Assets: KES53bn
- Presence in Kenya only

Market Cap: KES54bn
Number of Branches: 70

2013

- 8.4 million customers
- ROE: 28.1%
- ROA: 5.1%
- CIR: 49%
- Deposit: KES195bn
- Assets: KES278bn
- Presence in 5 countries

Market Cap: KES114bn
Number of Branches: 216

2014

- 10 million customers
- ROE: 30%
- ROA: 5.3%
- CIR: 47%
- Deposits: KES 240bn
- Assets: KES 340bn
- Increase market share in the region.
- Reduction of NPLs to 3.5%

Market Cap: ??
Number of Branches: 230



2014 ï What to Expecté



- Increased focus on **deepening each business** line thereby accelerating growth
- Aim to **Accelerate growth** and market share to:
 - Tanzania: **c.4%** spurred by massive oil find plus Bagamoyo port coming into operation
 - Uganda: **c.6%** as a result of a 30% growth in deposits
 - Kenya: **c.15%**
 - Rwanda: **c.10%** as a result of continued innovation and focused approach by the government
 - South Sudan **c.40%** driven by an increase in oil flow
- Continued **growth** in **Insurance Subsidiary**
- Continued assessment of the Bank's **capital position** guided by its growth rate, reserve retention policy and the new prudential guidelines



THANK YOU

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